

When an Investor says, "I just want something safe!", it is not just a request, it is a plea! The imbedded sentiment is "Would you please protect me from something awful and foreseeable?".

Investment Advisors with the right level of empathy hear their clients cry out in that way and develop portfolios that identify real solutions for balancing risk and reward. This balance is not found in a stock-and-bond-only portfolio. You would not find all that you need to live by restricting yourself to only two shopping aisles at Costco.

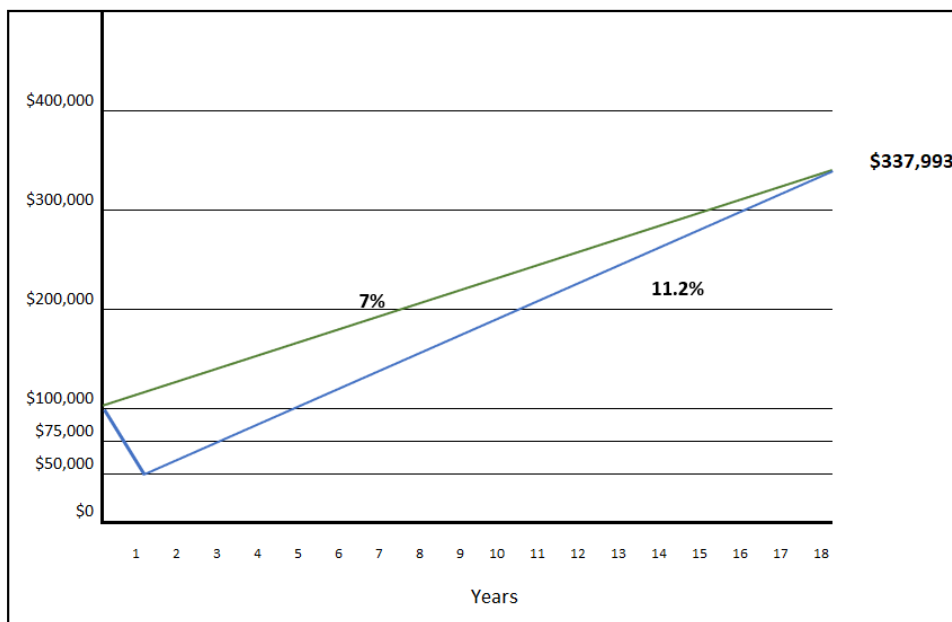
Instead, a competent Advisor understands their clients' plea for "a safe investment"; and knows that it is likely a response to a prior and painful investment loss. It is likely that some scar tissue has shaped the Client's perspective of risk.

The legendary financier and risk assessor J. K. Klingenstein of Wertheim and Co., when asked for the number one rule of investing, answered simply "**Don't lose**". And when asked, he meant don't lose your principal.

He described his point on a graph similar to the one below, wherein the Investor loses money in year one, or any year for that matter, and then presses for a significantly greater return to catch up (in this example 160% greater return is needed just to break even in the 18th year) on their investment dollars versus what would have happened had they invested in something less volatile (more reliable) from the start.

The risk of investment loss, especially early in the hold period, can take years to overcome.

THE COST OF LOSS



■ In the illustration above, a 7% return compounded every year for 18 years grows your \$100K investment to \$337.9K; comparatively, a 50% loss in year one requires a compounded return of 11.2% for 18 years just to catch up...a 160% increase in investment performance. Some speculator types double down following poor decisions.

The definition of risk is also cyclical. Defining “investment risk” in 1999 might have been described as the danger of “missing out” or underperforming your neighbor’s stock picks. It was such a robust market that the pain was not in losing money, but in listening to your neighbor boast about how he got rich nearly overnight by day-trading .com stocks.

In a following market cycle, 2002-03, the definition of investment risk shifted to mean that you should quickly liquidate whatever small traces of wealth you still had in your account and pull out of the stock market, which seemed to have no bottom. You were prompted to get out before being strung out, or completely wiped out.

For some, being afraid of risk results in an avoidance-behavior that overtakes their appetite to positively grow their money. It is as though risk takes on a persona to them and feels more like a lurking vagabond than a calculable exposure to loss. These investors retreat into accepting a 1% return on their money. And perhaps for good reason since we know that a “safe investment” is an oxymoron. Nothing in life is really safe. Having friends is risky, getting married is risky, having children is risky. In fact, life itself is so risky that no one gets out alive. 😊

When I spoke to a group of Certified Financial Planners about the risks of investing in Multifamily real estate, I decided to invite them to tell me what they feared most about investing in real estate. I asked them to write down what they perceived to be the greatest risks of investing in an existing apartment property.

Removing much of the redundancy from their responses, this was their top 10:

1. Fire
2. Foreclosure
3. Earthquake
4. Unpaid rent
5. Legislation (especially in California)
6. Unexpectedly higher operating expenses
7. The bank takes the asset
8. Inflation
9. Tenant damage to the building
10. Water damage

I viewed their list and responded this way:

First, let’s remove the **insurable risks (1,3,9 & 10)**, like fire and earthquake, tenant and water damage to the building, all of which have a replacement protection, and also an available rider for business continuation income.

Next, let’s mitigate the **foreclosure risk (2,7)** by keeping our bank debt on the property at or below 50% loan-to-value. We can do this because we’re not greedy. A 20% speculative return is less appealing than a 15% return without the risk of losing principal. Best to make the risk of losing the asset mathematically unlikely even during a great recession.

Third, let’s operate within a strategy of buying, renovating, stabilizing, and selling the property within a 12–14-month turnaround. This offsets the risk of a rising interest rate move that could be the result of **inflation (8)**.

What is remaining? **Operator Error (4,5,6)** ...those things that a professional Asset Manager with 30 years of real estate experience, including the last ten years in this very targeted multifamily niche, is experienced to handle. Evidenced by a 96% collection rate through Covid, there should not be material surprises for an Operator in the area of how to successfully navigate written legislation.

VisionWise Capital has stressed the protection of its investors' principal by not being greedy. We insure every property against insurable risks. We don't over-borrow to mitigate the risk of losing money to foreclosure. And our ability to fix and flip apartment buildings in less than 18 months reduces the risk of the market moving away from our original pricing of the deal.

If you want steady distributions of income from a multi-million dollar real estate portfolio that has been intentionally designed for the conservative investor, give us a call at VisionWise Capital (949) 441-5580, or send us an email acknowledging your interest at julie@visionwisecapital.com and we will call you.

Don't miss out by being too late, and don't lose money by waiting too long!